EMPLOYEE STOCK OWNERSHIPS SCHEMES

a) Tata Technologies Limited Employees Stock Option Plan (TTESOP – 2001)

Tata Technologies Limited Employees Stock Option Plan 2001 (TTESOP Plan 2001) was launched by the Company in the year 2001. During the year under review, two option grantees, who were vested with 3,750 options in the previous financial year, exercised their options. The exercise price for these options was ₹ 645 per share. As on March 31, 2021, all the options that were granted to the employees under the scheme, have been exercised.

b) Stock based incentive schemes by Tata Technologies Limited Employees Stock Option Trust (TTESOP Trust) and Zedra Trust Company (Guernsey) Limited

To manage and implement various stock based incentive programs for employees of the Company, the Company / its subsidiary had formed the Tata Technologies Limited Employees Stock Option Trust (TTESOP Trust) and Zedra Trust Company (Guernsey) Limited, respectively.

During the Financial Year 2019-20, the Company had launched a Buyback scheme in which both the Trusts had participated to the extent of their entire shareholding. Their shareholding as on March 31, 2021 is NIL.

Tata Technologies Limited Employees Stock Option Trust (TTESOP Trust) has implemented the following stock based incentive programs:

1) Tata Technologies Employee Stock Purchase Program 2008
2) Tata Technologies Employee Stock Purchase Program 2009
3) Share Repurchase Program
4) Tata Technologies Employees Stock Purchase Program- Series III (ESPP- Series III)
5) Employees Stock Purchase Program- Series IV (ESPP – Series IV)
6) Employees Stock Purchase Program- Series V (ESPP – Series V)
7) Employees Stock Purchase Program- Series VI (ESPP – Series VI)

The Schemes implemented by Zedra Trust Company (Guernsey) Limited are:

1) Employee Stock Ownership Program for INCAT Employees 2006
2) Employee Stock Ownership Program for INCAT Key Employees 2007
3) Employee Stock Ownership Program for INCAT General Employees 2007
4) Employee Stock Ownership Program 2009 (ESO 2009)
5) Employee Stock Ownership Program 2010 (ESO 2010)
6) Employee Stock Ownership Program 2012 (ESO 2012)
7) Employee Stock Ownership Program 2015 (ESO 2015)

FORM NO. AOC-1

[Pursuant to first proviso to sub section 3 of Section 129 read with Rule 5 of Companies (Accounts) Rules, 2014]

PART "A"

STATEMENT CONTAINING SALIENT FEATURES OF THE FINANCIAL STATEMENT OF SUBSIDARIES

(Amount in ₹ Crore)

Sl. No.	Name of Subsidiary Company	Country	Reporting Currency	Exchange Rate	Capital	Reserves	Total Assets	Total Liabilities	Investments Other than Investment in Subsidiaries	Turnover	Profit/ (Loss) Before Taxation	Provision for taxation	Profit / (loss) After taxation	Proposed Dividend	% shareholding
1	INCAT International Plc.	UK	GBP	100.77	2.45	45.04	47.58	0.09	-	0.14	0.49	0.09	0.40	-	100
2	Tata Technologies Inc.	USA	USD	73.11	875.19	(399.18)	625.82	149.81	-	771.11	77.83	20.63	57.20	-	99.80
3	Tata Technologies de Mexico, S.A. de C.V. (in process of liquidation)	Mexico	MXN	3.58	0.63	1.95	4.23	1.65	-	2.73	(1.00)	-	(1.00)	-	99.80
4	Cambric Limited, Bahamas	Bahamas	USD	73.11	19.74	0.72	20.46	-	-	0.00	(0.02)	-	(0.02)	-	99.80
5	Cambric GmbH (liquidated on September 17, 2020)	Germany	EURO	85.78	-	-	-	-	-	-	0.08	-	0.08	-	99.80
6	Tata Technolgies SRL, Romania	Romania	RON	17.45	5.36	54.53	67.41	7.52	-	64.91	5.31	0.76	4.55	-	99.80
7	Tata Manufacturing Technologies Consulting (Shanghai) Limited	China	RMB	11.16	3.43	35.89	59.57	20.24	-	46.70	(12.43)	0.00	(12.43)	-	100
8	Tata Technologies Europe Limited	UK	GBP	100.77	0.11	893.38	1,167.38	273.89	-	668.63	96.04	18.41	77.63	-	100
9	Tata Technologies Nordics AB^ (Formerly known as Escenda Engineering AB upto November 01, 2020)	Sweden	SEK	8.38	0.18	6.68	70.16	63.30	-	86.87	0.42	(0.13)	0.55	-	100
10	INCAT GmbH (in process of liquidation)	Germany	EURO	85.78	1.41	18.86	20.33	0.07	-	0.34	0.40	1.35	(0.95)	-	100
11	Tata Technologies (Thailand) Limited	Thailand	BAHT	2.34	8.25	(9.06)	7.09	7.89	-	9.64	(5.88)	-	(5.88)	-	100
12	TATA Technologies Pte Ltd.	Singapore	USD	73.11	394.81	427.51	850.88	28.57	-	97.79	13.49	0.20	13.29	-	100

1. Names of the subsidaries which are yet to commence operations	NIL
2. Names of the subsidaries which have been liquidated or sold during the year	Cambric GmbH

PART "B":

Statement pursuant to Section 129(3) of the Companies Act, 2013 related to Joint Venture

Name of the Joint Venture		Tata HAL Technologies Limited
1.	Latest audited Balance Sheet Date	March 31, 2021
2.	Shares of Joint Venture held by the company on the year end date	
	No.	50,70,000
	Amount of Investment in Joint Venture ₹ in crores	5.07
	Extent of Holding %	50%
3.	Description of how there is significant influence	There is no significant influence.
4.	Reason why the joint venture is not consolidated	Provision for impairment was made to the extent of Investment in Joint Venture in FY 16-17 and hence not considered for Consolidation
5.	Networth attributable to Shareholding as per latest audited Balance Sheet ₹ in crores	0.43
6.	Profit/(Loss) of the year ₹ in crores	(0.50)
	i. Considered in Consolidation ₹ in crores	-
	ii. Not Considered in Consolidation ₹ in crores	(0.25)
1.	Names of the joint venture which are yet to commence operations	NIL
2.	Names of the joint ventures which have been liquidated or sold during the year	NIL

REMUNERATION POLICY OF TATA TECHNOLOGIES LIMITED FOR DIRECTORS, KEY MANAGERIAL PERSONNEL AND OTHER EMPLOYEES

The philosophy for remuneration of directors, Key Managerial Personnel ("KMP") and all other employees of Tata Technologies Limited ("the Company") is based on the commitment of fostering a culture of leadership with trust. The remuneration policy is aligned to this philosophy.

This remuneration policy has been prepared pursuant to the provisions of Section 178(3) of the Companies Act, 2013 ("Act"). While formulating this policy, the Nomination and Remuneration Committee ("NRC") has considered the factors laid down under Section 178(4) of the Act, which are as under:

(a) the level and composition of remuneration is reasonable and sufficient to attract, retain and motivate directors of the quality required to run the company successfully;

(b) relationship of remuneration to performance is clear and meets appropriate performance benchmarks; and

(c) remuneration to directors, key managerial personnel and senior management involves a balance between fixed and incentive pay reflecting short and long-term performance objectives appropriate to the working of the company and its goals.

Key principles governing this remuneration policy are as follows:

Remuneration for independent directors and non-independent non- executive directors

- Independent directors ("ID") and non-independent non-executive directors ("NED") may be paid sitting fees (for attending the meetings of the Board and of committees of which they may be members). In addition to the sitting fees, ID may be paid commission within regulatory limits.
- Within the parameters prescribed by law, the payment of sitting fees and commission will be recommended by the NRC and approved by the Board.
- Overall remuneration (sitting fees and commission) should be reasonable and sufficient to attract, retain and motivate directors aligned to the requirements of the Company (taking into consideration the challenges faced by the company and its future growth imperatives).
- Overall remuneration should be reflective of size of the Company, complexity of the sector/ industry/ Company's operations and the Company's capacity to pay the remuneration.
- Overall remuneration practices should be consistent with recognized best practices.
- Quantum of sitting fees may be subject to review on a periodic basis, as required.
- The commission payable to IDs will be recommended by the NRC to the Board based on Company performance, profits, return to investors, shareholder value creation and any other significant qualitative parameters as may be decided by the Board.
- The NRC will recommend to the Board the quantum of commission for each ID based upon the outcome of the evaluation process which is driven by various factors including attendance and time spent in the Board and committee meetings, individual contributions at the meetings and contributions made by IDs other than in meetings.
- In addition to the sitting fees and commission if any, the Company may pay to any director such fair and reasonable expenditure, as may have been incurred by the director while performing his/her role as a director of the Company. This could include reasonable expenditure incurred by the director for attending Board/ Board committee meetings, general meetings, court convened meetings, meetings with shareholders/creditors/ management, site visits, induction and training (organized by the company for directors) and in obtaining professional advice from independent advisors in the furtherance of his/ her duties as a director.

Remuneration for Managing Director ("MD") / Executive Directors ("ED") / KMP / rest of the employees

The extent of overall remuneration to MD/ED/KMP should be sufficient to attract and retain talented and qualified individuals suitable for every role. Hence, remuneration should be:

a) Market competitive (market for every role is defined as companies from which the Company attracts talent or companies to which the company loses talent),

b) Driven by the role played by the individual,

c) Reflective of size of the Company, complexity of the sector/ industry/ Company's operations and the Company's capacity to pay,

d) Consistent with recognized best practices and

e) Aligned to any regulatory requirements.

The Company provides retirement benefits as applicable:

a) The remuneration mix for the MD/ EDs will be as per the contract approved by the shareholders. In case of any change, the same would require the approval of the shareholders.

b) Basic/ fixed salary is provided to all employees to ensure that there is a steady income in line with their skills and experience.

c) In addition to the basic/fixed salary, the Company provides employees with certain perquisites, allowances and benefits to enable a certain level of lifestyle and to offer scope for savings and tax optimization, where possible. The Company also provides all employees with a social security net (subject to limits) by covering medical expenses and hospitalization through re-imbursements or insurance cover and accidental death and dismemberment through personal accident insurance.

Excludes employees covered by any long term settlements or specific term contracts. The remuneration for these employees would be driven by the respective long term settlements or contracts.

- In addition to the basic/fixed salary, benefits, perquisites and allowances as provided above, the Company provides MD/EDs such remuneration by way of an annual incentive remuneration/performance linked bonus subject to the achievement of certain performance criteria and such other parameters as may be considered appropriate from time to time by the Board. An indicative list of factors that may be considered for determination of the extent of this component are:

  a) Company performance on certain defined qualitative and quantitative parameters as may be decided by the Board from time to time,

  b) Industry benchmarks of remuneration,

  c) Performance of the individual.

- The Company also provides stock based incentive schemes to the employees from time to time based on the recommendation of the NRC

- The Company provides the rest of the employees a performance linked bonus. The performance linked bonus would be driven by the outcome of the performance appraisal process and the performance of the Company.

Remuneration payable to Director for services rendered in other capacity

The remuneration payable to the Directors shall be inclusive of any remuneration payable for services rendered by such director in any other capacity unless:

a) The services rendered are of a professional nature; and

b) The NRC is of the opinion that the director possesses requisite qualification for the practice of the profession.

Policy implementation

The NRC is responsible for recommending the remuneration policy to the Board. The Board is responsible for approving and overseeing implementation of the remuneration policy.